

Digital Product Passports and LVMH's Aura Blockchain Consortium

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Do you remember the headlines claiming that a Dior handbag cost just KRW 80,000 to produce? In 2024, an Italian court investigation revealed that some luxury products from Dior, Armani, and other brands had been manufactured through labor law violations and illegal subcontracting practices. At the same time, LVMH continued to promote its **LIFE 360** environmental roadmap, reaffirming its commitment to sustainability. The gap between corporate promises and operational reality, however, was enough to undermine trust across the luxury industry.

Today's consumers are no longer easily persuaded by greenwashing. In particular, younger generations increasingly view ethical standards as a prerequisite for purchasing decisions and are far more attentive to environmental and human rights issues. What they seek is not emotional messaging, but truth backed by verifiable data.

Against this backdrop, the **Aura Blockchain Consortium** has emerged as a significant industry initiative. Founded in 2021 by LVMH, Prada Group, and Richemont, the consortium has since expanded to include more than 50 companies, including OTB (Jil Sander, Diesel, Maison Margiela), Mercedes-Benz, Tod's, and MCM. Their commitment to blockchain serves a clear purpose: to build **Digital Product Passports (DPPs)** that document a product's entire lifecycle through immutable records. Today, the platform contains more than 60 million registered products and also supports digital authentication through NFT- and SBT-based technologies.

Several luxury brands have already put this approach into practice. Dior's **B33** sneakers, Bulgari's **Serpenti** bag, H. Moser & Cie's **Genesis** watch, and LVMH's **LV Diamonds** all provide blockchain-based transparency across their entire product lifecycle. More recently, MCM's **Harper** luggage collection joined the initiative, using data to verify its sustainability credentials. This level of transparency extends beyond regulatory compliance; it establishes the trust necessary for consumers to participate confidently in the resale economy. According to Boston Consulting Group (BCG), the global resale market is projected to reach approximately **US\$360 billion (around KRW 540 trillion)** by 2030. Products with transparent, verifiable histories evolve beyond mere ownership to become assets within a circular economy.

This shift extends well beyond the luxury sector and will have profound implications for Korean fashion companies. Beginning in 2027, the European Union will fully implement the **Digital Product Passport (DPP)** framework. In the future, simply listing fiber composition and country of origin on a garment label will no longer be sufficient. Brands will also need to provide digitally verifiable information covering raw materials, supply chains, and environmental impacts. Without this evidence, entering the European market itself may become increasingly difficult. For Korean fashion companies, this presents both a challenge and an opportunity.

Many companies are rushing to adopt blockchain platforms and new IT systems. Yet the real issue is not technology—it is data. If a company cannot answer fundamental questions such as, "*Has this fabric been properly certified?*" or "*Were the workers at this factory fairly compensated?*" then no IT system, however sophisticated, can deliver meaningful business value. The priority should be

integrating information scattered across ERP and PLM systems at the SKU level while collecting comprehensive data throughout the supply chain. Once this data foundation is established, companies can connect systems through APIs and adapt far more effectively to DPP requirements.

Ultimately, sustainability in the future of fashion will be measured not by promises, but by proof. Consumers will continue asking more difficult questions, and brands must be prepared to answer them with data. Without verifiable evidence, even a brand's identity may begin to erode. The true value of luxury will no longer be defined by aura alone, but by trust that can be substantiated through data. For the Korean fashion industry, the ability to navigate this transformation—and to remain globally competitive—will ultimately depend on data itself.